

2c. Content of J205/01 – Introduction to Economics

This component introduces learners to the fundamental economic terms and concepts. Learners will apply these to investigate and explain how markets work in contemporary and historical economic contexts.

They will study the different roles and perspectives of the main economic agents (consumers, producers and the government) and how they interact in the economy.

Learners will develop the ability to use and interpret quantitative data to justify economic decisions.

They will learn to appreciate that all economic choices have costs and benefits. This will encourage them to consider moral, ethical and sustainability issues that arise as a result of the impact of economic activity in a range of national and global contexts.

Please note:

All terms in **bold** are key terms learners should be familiar with and learners should be able to explain their meaning. For the use and meaning of command words please see Section 2b.

1. Introduction to Economics	
Topic	Learners should be able to
1.1 Main economic groups and factors of production	- explain the role of the main economic groups: consumers, producers and the government, including their interdependence - explain the factors of production: land, labour, capital and enterprise, including how they might be combined
1.2 The basic economic problem	- explain what is meant by scarce resources and unlimited wants - explain the economic problem, including the questions of how resources should be allocated, what, for whom and how goods and services should be produced - explain what is meant by opportunity cost - evaluate the costs and benefits of economic choices, including the impact on economic, social and environmental sustainability.